

ACQUISITION DUE DILIGENCE

GreenPower Motor Company Inc.

Investment Committee Presentation

Prepared for: EcoCapital Investment Committee

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Executive Summary

RECOMMENDATION: PASS — DO NOT PROCEED AT CURRENT TERMS

GreenPower's fundamentals have deteriorated sharply: FY2025 revenue fell 49% year-over-year to \$19.8M, SG&A now exceeds 100% of revenue, and the company reported negative shareholders' equity of -\$1.6M. Our DCF analysis, run across three scenarios (Downside, Base Case, and Turnaround), produced negative implied equity values in every case — well below the current share price of \$1.00. Absent a fundamental operational restructuring and a materially lower entry valuation, EcoCapital should decline this acquisition.

FY2025 REVENUE

\$19.8M

-49.4% YoY

SHAREHOLDERS' EQUITY (FY25)

-\$1.6M

vs. +\$11.6M FY24

DCF VALUE / SHARE (ALL SCENARIOS)

-\$4 to -\$1

vs. \$1.00 current price

Company Overview

GreenPower Motor Company Inc. (Nasdaq: GP)

Founded in 2010 and headquartered in Vancouver, British Columbia, GreenPower designs, manufactures, and distributes purpose-built, all-electric, zero-emission medium- and heavy-duty commercial vehicles. The company uses a clean-sheet EV platform and sources components from global suppliers to serve transit, school, and cargo/delivery fleet operators across the U.S. and Canada.

PRODUCT SEGMENTS

- **Transit & Shuttle:** EV Star Cab & Chassis, passenger and mobility-plus configurations
- **School Buses:** Type D BEAST and Nano BEAST all-electric school buses
- **Cargo & Delivery:** EV Star Cargo, Cargo Plus and stakebed trucks

MARKET POSITION

- Niche player in the emerging medium/heavy-duty commercial EV segment
- Primary manufacturing operations in Southern California
- Revenue concentrated in school bus purchase orders — exposed to municipal budget cycles and EPA/state incentive programs
- Competes with Workhorse Group, BrightDrop, Phoenix Motor, Lightning eMotors and others — most better capitalized
- FY2025 revenue of \$19.8M reflects a shrinking order book and intensifying competitive pressure

Financial Highlights

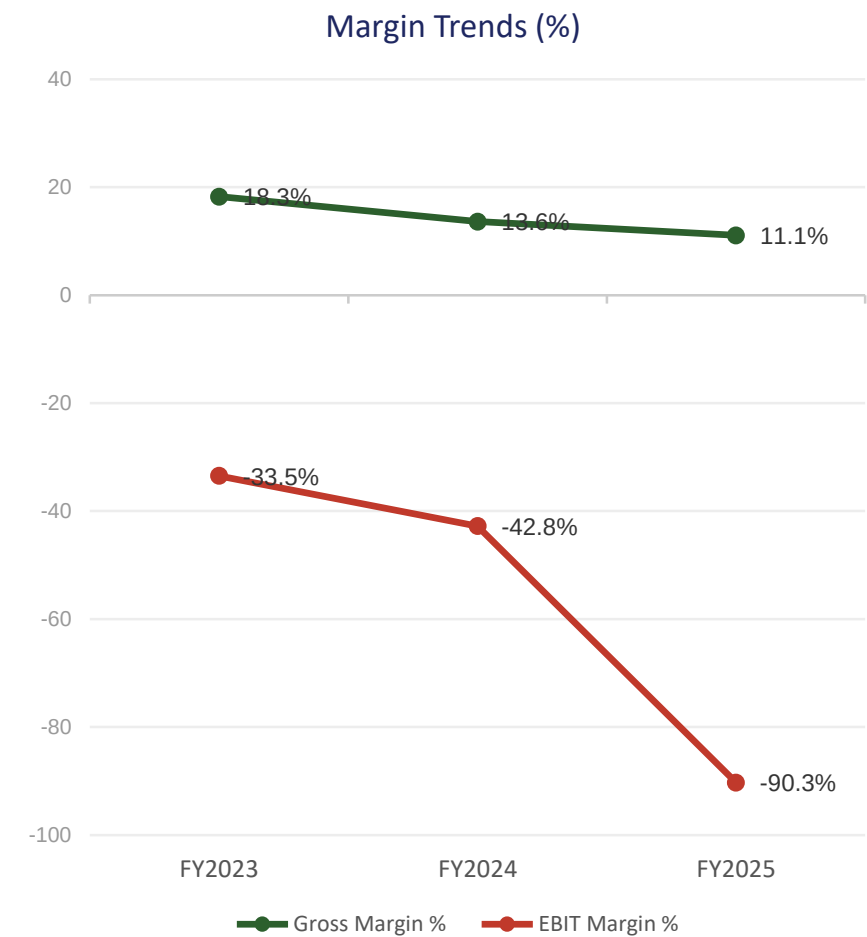
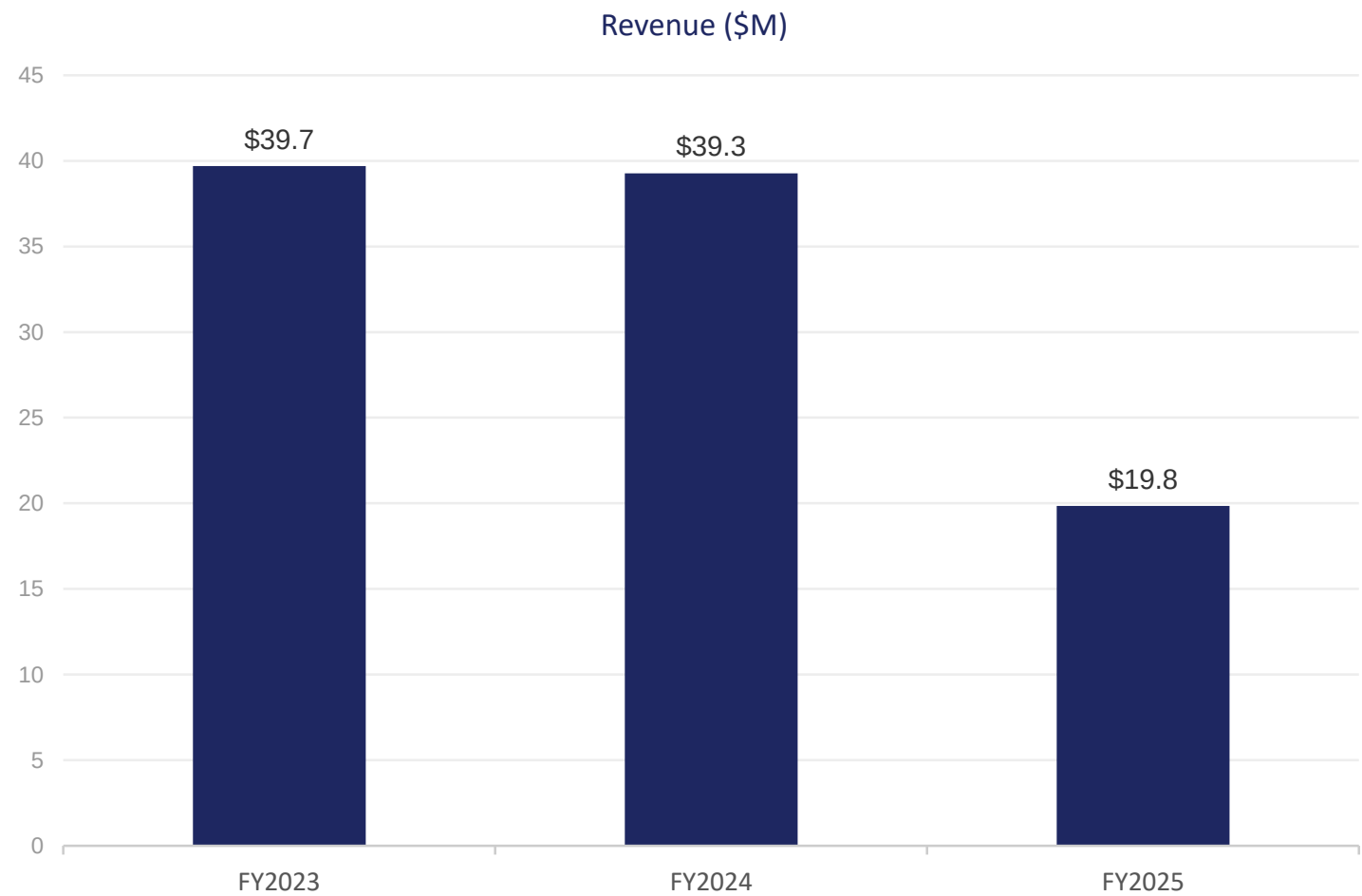
Ratio	FY2023	FY2024	FY2025
Gross Profit Margin	18.26%	13.64%	11.07%
SG&A / Revenue	51.73%	56.43%	101.36%
EBIT Margin	-33.47%	-42.78%	-90.29%
Current Ratio	n/a	173.09%	141.22%
Inventory / Revenue	n/a	81.51%	129.00%
Accounts Receivable / Revenue	n/a	7.21%	2.73%
Interest Coverage (EBIT/Interest)	857.10%	1080.51%	823.53%
Debt-to-Equity	n/a	290.79%	-2283.81%

Note: EBIT margin sign corrected from source model (FY24/FY25 signs were inverted in the underlying workbook).

3-YEAR TREND SUMMARY

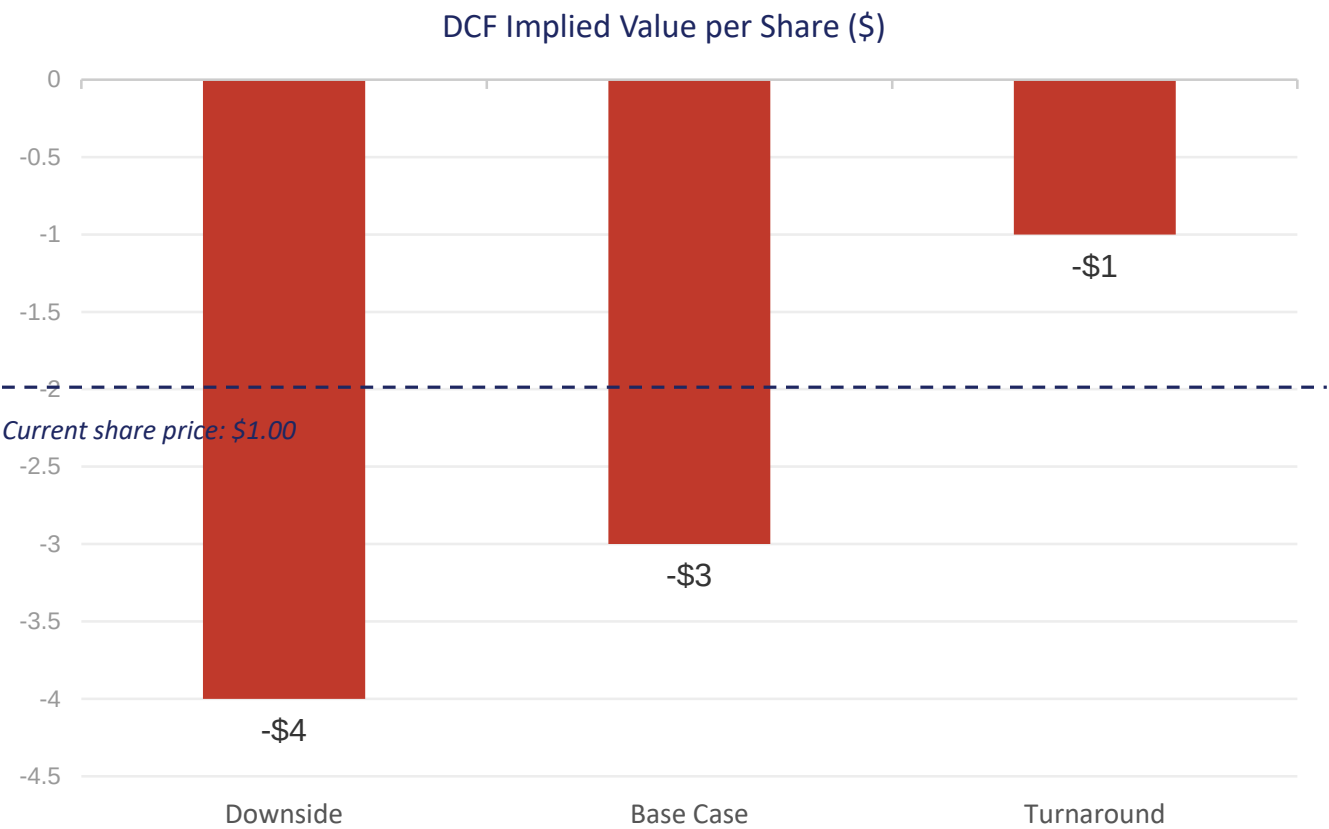
- Gross margin compressed from 18.3% to 11.1% as revenue scale declined
- SG&A ballooned to over 100% of revenue in FY2025 — cost base has not flexed with lower volume
- Inventory now exceeds 129% of annual revenue, signaling excess/slow-moving stock
- Debt-to-equity turned negative in FY2025 as accumulated losses erased the equity base

Revenue and Profitability Trends



Revenue nearly halved in FY2025 while EBIT margin fell to -90%, indicating the cost base is deeply misaligned with current order volumes.

Valuation Summary



Metric	Base Case (\$000s)
Sum of PV of FCFs	-18,485
PV of Terminal Value	-71,084
Entity Value	-89,569
Less: Total Debt	19,927
Less: Debt Equivalents	3,067
Equity Value	-112,563
Value per Share	-\$4

WACC estimated at 11.0% (risk-free rate 4.0%, market risk premium 5.5%, levered beta 1.2). All three scenarios yield negative equity value, driven by persistent negative free cash flow and a capital structure heavily weighted toward debt (85% debt weight).

Scenario Analysis

Downside	
ASSUMPTIONS	
Revenue Growth	15.0%
COGS / Revenue	85.0%
SG&A / Revenue	95.0%
WACC	14.5%
Equity Value	
-\$132,490K	
Value / Share vs. \$1.00 current	
-\$4	
PASS	

Base Case	
ASSUMPTIONS	
Revenue Growth	5.0%
COGS / Revenue	75.0%
SG&A / Revenue	65.0%
WACC	12.0%
Equity Value	
-\$90,000K	
Value / Share vs. \$1.00 current	
-\$3	
PASS	

Turnaround	
ASSUMPTIONS	
Revenue Growth	20.0%
COGS / Revenue	65.0%
SG&A / Revenue	35.0%
WACC	9.5%
Equity Value	
-\$30,000K	
Value / Share vs. \$1.00 current	
-\$1	
PASS	

Key Risks

1

Negative shareholders' equity

Equity turned negative (-\$1.6M) in FY2025 as accumulated losses exceeded paid-in capital.

HIGH

2

Revenue decline & order concentration

Revenue fell 49% YoY; heavy reliance on school bus purchase orders exposed to municipal budgets and incentive programs.

HIGH

3

Cost structure misaligned with revenue

SG&A reached 101% of revenue in FY2025 — the cost base has not been right-sized for lower volumes.

HIGH

4

Leverage & capital structure

Balance sheet is debt-funded (line of credit, term loan, related-party loans) against a shrinking equity cushion.

HIGH

5

Persistent negative operating cash flow

Operations consumed \$6.0M of cash in FY2025, requiring continued external financing to fund the business.

MEDIUM

Value Creation Roadmap

Operational improvements that would need to precede any renewed valuation discussion

1 0–6 Months

- Right-size SG&A to restore alignment with revenue run-rate
- Liquidate excess/slow-moving inventory (129% of revenue)
- Renegotiate or refinance short-term line of credit

2 6–12 Months

- Diversify order book beyond school bus segment
- Improve receivables collection and working capital cycle
- Stabilize gross margin above 15% through supplier renegotiation

3 12–24 Months

- Return to positive operating cash flow
- Rebuild shareholders' equity through disciplined capital allocation
- Re-open valuation discussion at a revised, de-risked entry price

Investment Recommendation

DECISION: PASS

Decline the acquisition of GreenPower Motor Company at current terms and valuation.

CONDITIONS FOR RECONSIDERATION

- SG&A reduced to below 70% of revenue on a sustained basis
- Positive shareholders' equity restored
- Revenue base diversified beyond school bus concentration
- Entry valuation renegotiated to reflect a positive DCF range

NEXT STEPS

- 1 Communicate PASS decision to GreenPower and EcoCapital deal team
- 2 Revisit in 12–24 months if restructuring milestones in the value creation roadmap are achieved
- 3 Monitor GreenPower's quarterly filings for evidence of margin recovery and equity stabilization
- 4 Maintain relationship for potential distressed-asset or re-priced opportunity